

save on your U.S. federal taxes. But if you are not a resident of any state, you don't pay state taxes.

There—that takes care of local and state tax issues. And the inheritance/gift tax, too.

USING TAX HAVENS

But let's turn to federal taxes. You can't save federal taxes by moving to a different state. Or by moving out of the country. And a trust usually doesn't help, either. In the United States, you are generally considered the owner of the funds you put in a trust. You'll pay tax on them. Distributions are generally taxed, too—as though they were the products of an investment account.

However, a trust can be an exceptionally good way to avoid *all* taxes—including income and capital gain taxes—if you set it up the right way. Again, it may not matter to the ordinary person. He pays relatively little in taxes. And he figures, *grosso modo*, that he gets as much from the government as he contributes. But it's a very different calculation for family money. Income and capital gain taxes cut deeply into the rate at which you can accumulate wealth. As you can see from the compounding tables in Chapter 3, even relatively small differences in rates of return (net of taxes) make a dramatic difference to the results.

Some places—such as the Cayman Islands, the Channel Islands, and Cyprus—do a decent business helping out the “1 percent” of people who have enough money to make it worth trying to avoid taxes. These places are often islands, which is probably the source of the “offshore” designation. They provide rich people with a way to legally reduce their tax exposure. They also help people preserve their privacy. And they provide protection from financial predators.

Typically, they allow two kinds of tax reduction. First, they allow people to live in their jurisdictions at low—or no—tax rates. Sometimes you can negotiate a deal with a tax haven. Often, you don't have to. Tax havens typically do not tax income from a trade or business that is not done locally. As you can imagine, few people earn much money from local tax haven